NER Regions

Europe's Economic Outlook and Italy's Regional Divide

Insights from Bank of Italy's Annual Report

Helena Oprandi





Helena is a data-driven economist specializing in quantitative analysis, machine learning, and environmental policy. Currently pursuing her Master's in Economics and Data Analysis at the University of Verona, Helena has also studied in France and brings a uniquely regional understanding to her analytical work. Her research interests span from economic modelling to sustainability, all grounded in rigorous, evidence-based methodology.

At the end of May 2025, the Bank of Italy published its annual report, offering a comprehensive assessment of the current economic and financial landscape. The report not only focuses on Italy's economic performance but also examines broader trends in the euro area and the international context in which European economies operate. By highlighting both the domestic structural issues and ongoing global challenges, this article explores the impact of the report on the international environment, euro area developments, and regional disparities that continue to shape Italy's growth potential.

A Global Economy Facing New Challenges

At the international level, the global economy in 2024 continued to grow at a modest pace, but the recovery remains uneven across countries and regions. Advanced economies and developing nations have followed different growth trajectories, with the pace of expansion influenced by a range of factors including inflation, geopolitical instability, and policy responses. Inflation has shown signs of decreasing slightly at the global level, although this improvement is uneven, with notable differences between countries and regions.

Geopolitical tensions have contributed to this fragile and fragmented recovery. The ongoing conflict between Russia and Ukraine, alongside heightened instability in the Middle East, has added layers of uncertainty to international economic relations. The recent shift in the U.S. presidency has further altered the geopolitical equilibrium, reshaping alliances and affecting the dynamics of international trade and investment.

Another important trend observed in the global context is the waning ambition of international financial institutions when it comes to climate change initiatives. Many institutions have adopted more restrictive interpretations of their mandates, which could result in fewer concessional loans and diminished financial assistance to vulnerable countries. This has significant implications, especially for developing nations that rely on favorable financing terms to pursue sustainable development goals.

As a result, the combination of these factors mean that global cooperation is become increasingly complex. However, while efforts by multilateral forums such as the G7 and G20 fail to gain traction in this divided environment, several new initiatives have emerged in the niche of international economic cooperation, including the Extraordinary Revenue Acceleration, the Cyber Expert Group, the Resilient and Inclusive Supply-Chain Enhancement (RISE), as well as the G20 Roadmap Towards Better, Bigger and More Effective Multilateral Development Banks (MDBs). Yet, despite these developments, the fragmented nature of the current landscape continues to undermine the coherence and effectiveness of global economic governance.

Low-income countries are among the most affected by this increasingly fragmented global landscape. The Bank of Italy notes a significant decline in foreign capital inflows to these nations, exacerbating economic vulnerability and limiting the capacity to invest in critical infrastructure and social services.



Duomo of Milan Overlooking the Financial District

Euro Area: Signs of Improvement Amid Persistent Risks

The situation in the euro area in 2024 has shown cautious signs of improvement. One of the most positive developments has been the significant reduction in consumer inflation, which has more than halved compared to 2023. This trend is attributed to a more accommodative monetary policy stance and growing confidence in the European Central Bank's ability to guide inflation back towards the 2% target. Financial market conditions have also improved over the past year, contributing to a more stable investment environment. After five consecutive quarters of stagnation, the euro area's GDP resumed growth, although the pace of recovery remains modest and highly uneven across member states.

Figure 1: Quarterly GDP trends in major euro area countries. Source: Bank of Italy Dataset

PIL nell'area dell'euro e nei maggiori paesi (1)
(variazioni percentuali sul periodo precedente)

PAESI	Pesi 2024	2022	2023	2024	2024				2025
					1° trim.	2° trim.	3° trim.	4° trim.	1° trim.
Area dell'euro (2)	100,0	3,5	0,4	0,9	0,3	0,2	0,4	0,2	0,3
Germania	27,9	1,4	-0,3	-0,2	0,2	-0,3	0,1	-0,2	0,2
Francia	20,0	2,6	0,9	1,2	0,1	0,3	0,4	-0,1	0,1
Italia	14,9	4,8	0,7	0,7	0,2	0,2	0,0	0,2	0,3
Spagna	10,5	6,2	2,7	3,2	1,0	0,8	0,7	0,7	0,6
Paesi Bassi	7,1	5,0	0,1	1,0	-0,1	1,0	0,8	0,3	0,1
Belgio	4,1	4,3	1,2	1,0	0,4	0,3	0,3	0,2	0,4
Irlanda	3,6	8,6	-5,5	1,2	1,6	-0,4	4,1	3,6	3,2

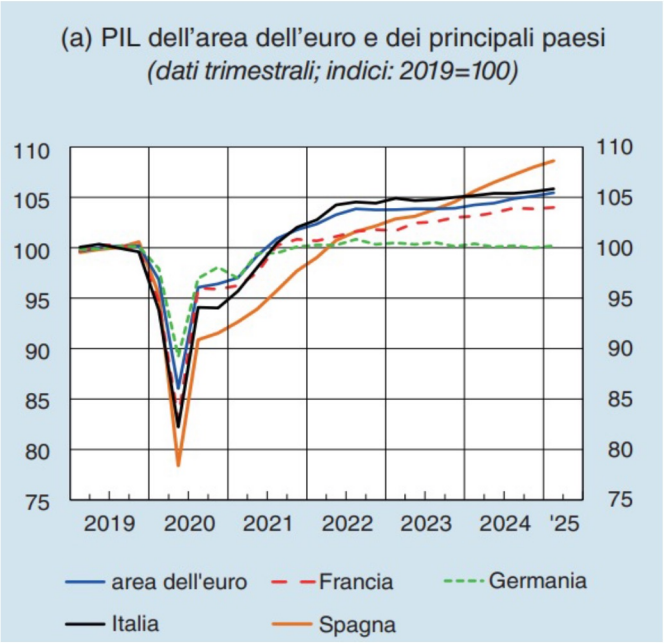
Fonte: elaborazioni su statistiche nazionali e su dati Eurostat; cfr. nella sezione *Note metodologiche* dell'Appendice la voce *Conti nazionali: valori concatenati*.
(1) Valori concatenati. Le serie trimestrali sono destagionalizzate e corrette per i giorni lavorativi. – (2) Si riferisce alla composizione a 20 paesi.

As shown in Figure 1, Spain experienced strong GDP growth, primarily driven by domestic demand and immigration policies that supported labor market participation and consumption. France and Italy recorded more moderate economic growth, while Germany saw its GDP contract due to the ongoing crisis in the manufacturing sector and a subsequent decline in exports. The services sector has been a key driver of value-added growth in the euro area, particularly in information and communication technologies (ICT), reflecting the region's ongoing digital transformation. Professional and technical consulting services also contributed to this growth, albeit to a lesser extent.

In terms of employment, the euro area saw a 1% increase in 2024. The most substantial gains were concentrated in the construction sector and in ICT and tourism-related services. Notably, employment growth was concentrated in permanent contracts, which are less sensitive to cyclical fluctuations and provide more stability for workers. However, household behavior continues to reflect lingering uncertainty. Consumption levels have declined, and households have shown a higher propensity to save, possibly in response to economic and geopolitical risks.

In Figure 2 we can observe that growth remains modest across the board, with Spain again leading in 2024 (orange line). Italy maintains a steady but modest pace (black line), while Germany records several negative or near-zero quarters (dotted green line), reflecting the ongoing structural challenges in its economy.

Figure 2: Quarterly breakdown of GDP growth in major countries



Fiscal and Labor Market Dynamics

From a macroeconomic perspective, the euro area experienced a moderation in labor cost growth. The unit labor cost rose by 4.5% in 2024, a notable slowdown from the 6.0% increase recorded in 2023. This decel-

eration reflects both a slower increase in wages and a slight improvement in productivity. Real wages, however, saw a partial recovery in 2024, supported by sustained nominal wage growth and a decline in inflation. Corporate profit margins have adjusted as well: in nations like Germany, France, and Italy, margins have returned to pre-pandemic levels, absorbing part of the labor cost increases.

Public debt dynamics varied significantly across member states. Spain and Germany reduced their debt-to-GDP ratios, while France and Italy registered increases. In Italy's case, the rise was partly due to the ReArm Europe/Readiness 2030 plan, unveiled by the European Commission in March 2025, aimed at enhancing Europe's defense capabilities with investments of up to €800 billion.

According to European Commission estimates, the euro area's fiscal policy stance was restrictive in 2024 and is expected to be neutral in 2025. The Commission continues to advocate for gradual and sustained debt reduction strategies tailored to individual member states. It also encourages reforms aimed at reducing tax evasion and shifting the tax burden from labour to less distortionary sources such as environmental or property taxes.

Italy's Internal Divide Between the North and the South

A key focus of the Bank of Italy's report is the enduring economic divide between the Center-North and the Mezzogiorno (South). Although the South has historically lagged behind, recent data suggest some encouraging trends. Between 2019 and 2023, the South's GDP grew by 5.9%, outpacing the 3.4% growth in the Center-North. In 2024, growth in both regions remained close to 0.9% and 0.7%, respectively.

On a per capita basis, the Mezzogiorno's GDP in 2023 was nearly 5.7% of the Center-North's, an improvement of almost two percentage points compared to pre-pandemic levels. This narrowing gap was driven largely by employment growth, especially in the construction sector, which benefited from generous public incentives for building renovation. Education and healthcare sectors also contributed, aided by the relaxation of hiring constraints in public administration.

Exports from the Mezzogiorno, which make up slightly more than 10% of Italy's total, also contributed between 2019 and 2023, rising by 15% in real terms. This growth was mainly driven by Campania's pharmaceutical industry and Sicily's petroleum products, both of which are dominated by a few large production facilities. However, in 2024, exports declined across the country, though less intensely in the Center-North. Employment in ICT also grew significantly in the South (50%), compared to a 22.5% increase in the Center-North. However, despite these growth factors, the sector's overall share in the South remains low (2.2%) compared to the North (3.7%). The expansion was concentrated in urban centres such as Naples, Bari, and Catania, which together account for nearly half of all ICT employment in the South.

Most notably, Southern firms demonstrated notable improvements in their financial positions. Leverage ratios in the South fell below those of the North, and operating profitability increased, bolstered by labor cost reductions through the Decontribuzione Sud – a tax relief measure aimed at safeguarding employment in what are the most disadvantaged areas of Italy. These positive trends contributed to a narrowing of the credit cost gap between regions, edging closer to financial parity between the North and the South.

Toward Convergence: Still a Long Way to Go

It is important to contextualise that despite recent progress, the structural gap between Italy's regions remains profound. The employment rate in the Mezzogiorno is still

around 20 percentage points lower than in the Center-North, and for women, the gap rises to approximately 25 points. Bridging this divide will require integrating large segments of the population, often with low education and limited work experience, into the labor market.

Estimates suggest that increasing the South's employment rate by 10 percentage points by 2030 would require an additional 750,000 workers and over €200 billion in capital investments to maintain productivity levels. This ambitious goal would depend on improvements in institutional quality, continued financial strengthening of southern firms, and targeted public policies to attract private investment.

Encouragingly, nearly €170 billion in public resources are still available for capital investment under the National Recovery and Resilience Plan (NRRP) and associated cohesion policies. If allocated effectively, these funds could play a critical role in supporting convergence.

Conclusion

The Bank of Italy's 2025 Annual Report provides a clear and thoughtful overview of the current economic situation in Italy and the European region at large. While the findings signal encouraging developments, particularly in southern Italy's labor market and export sectors, they also emphasize the persistence of deep-rooted structural divides. Despite the modest progress seen in recent years, achieving meaningful convergence between Italy's regions remains a complex and long-term challenge.

Addressing these disparities will require a combination of targeted public investment, improved institutional quality, and consistent policy implementation at both national and European levels. The availability of substantial funding under the NRRP and EU cohesion policies represents a major opportunity, but its success will largely depend on how effectively these resources are deployed for maximal gain.

Italy's experience reflects broader trends seen across the euro area, where the pressure of responding to global uncertainty is compounded by internal inequalities. Ensuring that growth is both sustainable and inclusive will require not only financial tools, but also the political will to enact structural reforms. In this context, the Bank of Italy's analysis serves as a valuable reminder of the importance of coordinated economic governance and long-term strategic vision for a more balanced and resilient European economy.

References

Banca d'Italia (2024). Relazione Annuale, especially pages 20-30, 51,153.

Rubino, P. (2024). "Fratture vecchie e nuove in Europa e in Italia", lavoce.info, 26 June 2025.

European Commission (2024). Ninth Report on economic, social and territorial cohesion

Banca d'Italia (2022).Il divario Nord-Sud: sviluppo economico e intervento pubblico.



© Nottingham Economic Review 2025
For inquiries: nottinghameconomicreview@gmail.com
Website: nottinghameconomicreview.com